

Outlook

From	mandla.mokoena@loan.products.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za, compliance.retail@keystonebank.co.za
Sent	Wed, 21 Feb 2024 16:21:00 -0000

Application conversion without pressuring unsuitable customers - 2024 control review

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Loan Products wants to understand application drop-off, decline reasons, booked loans and early repayment stress as one journey. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause.

Could the answer be that affordability declines are concentrated by product? Or are we actually seeing that some high-conversion channels create weaker early outcomes? I also do not want us to miss the possibility that documentation friction drives drop-off.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use February 2024 as the new evidence point rather than recycling the earlier conclusion. The practical decision is which application step, policy explanation or channel process should change. Please send a one-page finding note plus the underlying CSV for our own review; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; monthly customer and KYC snapshots; customer contacts, complaints and suggestions; collections cases, promises to pay and recovery payments. Do not optimise approval rate without affordability, conduct and later-outcome controls.

Regards